www.tntextbooks.in

8. Developing skills and facilitating credit linkages for eventual economic empowerment.
9. Promoting awareness among the members about finding solutions for their economic problems.
10. Identifying the common interest of the group members and carrying out their operations in the most efficient and economic way.
11. Enabling the members to overcome all social and economic barriers.
12. Promising and ensuring human rights to women at all stages of their life cycle.

Features of Self Help Groups

1. The motto of every group members should be "saving first – credit latter"
2. Self Help Group is homogeneous in terms of economic status.
3. The ideal size of a Self Help Group ranges between 10 and 20 members.
4. The groups need not be registered.
5. Groups are non-political, voluntary associations and follow a democratic culture.
6. Each group should have only one member from one single family.
7. A group is to be formed with only men or only with women.
8. Self Help Group holds weekly meetings mostly during non-working hours, and full attendance is made mandatory for better participation.
9. The groups have transparency among themselves and they have collective accountability in respect of financial transactions.
10. Every group provides a platform to its members for exchange of their views and ideas freely.


SHG meeting source http://www.tamilnadumahalir.org

Functions of Self Help Groups

The Functions of Self Help Groups are listed below.

1. Developing and enhancing the decision making capacity of members.
2. Increasing general awareness on literacy among members.
3. Equipping the poor with basic skills for understanding monetary transactions.
4. Maintaining books and registers to ensure proper accounts.
5. Providing necessary training in the chosen field.
6. Submitting the accounts for annual audit by a qualified auditor.
7. Deciding the loan amount to be sanctioned to the group members.

Mode of linkage

There are three distinct modes of credit to SHGs. Under the first mode, banks lend directly to the SHGs. In the second mode, banks provide loans to the NGOs for onward lending to the SHGs and ultimately to micro entrepreneurs. Under the third mode, banks extend credit to the SHGs with the NGOs serving as facilitators. Out of these three methods, the last method of direct lending by bank with NGOs facilitation is widely practised.